

If you already own a home, it's much harder to get that \$50,000 back once you've spent it. But if you bought pre-2020, you're in a much better position. Your biggest housing expense will likely be replacements, upgrades, and renovations. Like we talked about in the last chapter, in today's social media culture, it's easier than ever to scroll through the beautiful kitchens and living rooms of influencers and feel inferior because no one would want to film a recipe video on your countertops and your shiplap is years out of style. There are renovations that boost the value of your home and there are renovations that keep up with trends. Make sure you're doing the ones that will have a return on investment. Don't waste thousands of dollars on handmade tile or removing a load-bearing wall for an open concept style that's already becoming outdated. Do the upgrades and renovations that are best for your family, not your social media posts.

Transportation

For many Americans, the cost to finance a vehicle will be the second biggest hit to their wallet each month after housing. The frugal transportation choice used to be buying cars in cash, but with new car prices up 29 percent since March 2020³ and used car prices up 34 percent, that advice is no longer feasible for most people. As cars become more expensive at an alarming rate, auto loans help us afford a safe vehicle even if we haven't saved enough for one. But again, a small difference in the short-term can make a big impact in the grand scheme of your spending. Currently, the average loan for a new car is around \$40K with a monthly payment of \$729.⁴ The average loan for used cars is \$26K with a monthly payment of \$528. And don't let those low new car interest rates fool you. Even though used cars have a higher average interest rate than new cars, because the average used car price is so much lower, buying used saves you \$200 per month on the same loan length. That means this one decision can save you \$200 each month. That's over thirty-three lattes a month. By purchasing a used car just three to five years older than the new one you wanted, you can buy a \$6 latte every single day and still be spending less than if you'd bought the new car.

But, guys, what if my car breaks down? I lease my car because I don't want to worry about maintenance!